# WARRANTY ATLAS · South Carolina (SC)

Law last amended: 2021 (eff. 2021-08-04) · Next scheduled change: none found · Last verified: 2026-09-25 · Built 2026-11-02

Cites: S.C. Code Ann. § 56-15-60; S.C. Code Ann. §§ 56-15-110, 56-15-120 (damages; limitations)

## Labor reimbursement by coverage type

| Coverage | Status | Paid hours | Pinpoint / date note |
|---|---|---|---|
| **Factory warranty** | **Required** | Statute silent on time / not established | § 56-15-60(C)(1) |
| **Mfr-backed service contract** | **Not addressed** | - | § 56-15-60(B) |
| **CPO warranty** | **Not addressed** | - | § 56-15-60(B) |
| **Independent service contract** | **Not addressed** | - | § 56-15-60(B) |

Hourly rate: Retail rate only if the dealer requests retail reimbursement under (C)(4). Rate = retail labor sales for warranty-like services ÷ hours of labor spent, from 100 sequential customer-paid ROs or all customer-paid ROs in a 90-day period, whichever is less (within 180 days). Manufacturer may request more documentation (extends time 30 days), then approves or denies. Effective 30 days after approval. Once per 12 months. Dealer may protest a denial in the court of common pleas, wi…

## Audit fields

| Field | Rule | Pinpoint |
|---|---|---|
| **Claim decision** | 30 days; late claim deemed approved: Yes. Must be specifically disapproved in writing. May not be disapproved if the dealer can substantiate it under reasonable policies. No denial or chargeback for an unintentional administrative error. | § 56-15-60(F)(1)-(2) |
| **Payment** | 30 days after approval. Dealer filing deadline: Silent. | |
| **Chargebacks** | 12 months; fraud: The one-year audit limit and the once-per-12-months audit limit do no…. Chargeback only for fraudulent claims, unnecessary work, or work not properly performed. Warranty audits once per 12 months, covering only the 12 months after payment. No denial or chargeback for an unintentional administrative error. | § 56-15-60(F)(1)-(2), (G)(1), (G)(3) |
| **Rate resubmission** | not more than once in any 12-month period. Sample: 100 ROs or 90 days (fewer of the two samples); ROs <= 180 days old. Excluded: Internal, Discounted / promotional, Other (see text), Government, Insurance-paid, Tires, Routine maintenance, Alignments. | § 56-15-60(C)(3)-(4) |
| **Mfr response** | Silent; no response = approved: no rule in statute. Challenge: In a protest, the manufacturer must prove the submission did not meet the statutory requirements or is inaccurate or unreasonable Forum: Court of common pleas protest within 30 days of the denial; manufactu…. | § 56-15-60(C)(4)(b)-(c), (D)(3) |
| **Penalties** | Double actual damages, cost of suit and reasonable attorney's fee. Punitive damages up to 3x actual if malicious. Injunctive relief. 4-year limitations period. None specific to manufacturers identified in Chapter 15, Article 1 | S.C. Code Ann. §§ 56-15-110, 56-15-120 |
| **Audit procedures** | Audit climate score 30/100 (Elevated restrictiveness; chargeback limits 27/75 + process and oversight 3/25; measures how strict the law is, not how likely a dispute is; weights in draft). Advance notice: no; selection basis disclosed: no; frequency cap: Once within any 12-month period, covering only th…; written reasons: no; response period: none; internal appeal: no; held pending appeal: no; extrapolation: silent; clerical-error protection: yes; rate validation: broader or no procedure. | |

## Statute quotes

***Claims*** *(§ 56-15-60(F)(1)-(2)): "shall be paid within thirty days following approval ... Any claim not specifically disapproved in writing within thirty days after receipt shall be construed to be approved"*
***Chargebacks*** *(§ 56-15-60(F)(1)-(2), (G)(1), (G)(3)): "the manufacturer may audit claims for up to one year after payment and charge the dealer for fraudulent claims, work done unnecessarily, or work not properly performed."*
***Rate*** *(§ 56-15-60(C)(3)-(4)): "copies of one hundred sequential retail service orders paid by the dealer's customers, or all of the dealer's retail service orders paid by the dealer's customers in a ninety-day period, whichever is less ... more than once in any twelve-month period"*
***Factory time*** *(§ 56-15-60(C)(1)): "reasonable compensation shall not be less than the rate charged by the dealer for like services to nonwarranty customers for nonwarranty parts, service, and repairs if the dealer has submitted a request for retail reimbursement"*

## Notes

The retail rate is opt-in: it applies only after the dealer requests retail reimbursement under (C)(4). The statute sets no deadline for the manufacturer to approve or deny a rate submission and has no deemed approval. It says nothing on time allowances ((C)(3) 'hours of labor spent' is only the rate divisor). Cost recovery or surcharges are barred ((A)). Used-vehicle stop-sale compensation claims follow the same claim rules ((I)(5)).

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